

KYC & AML

Identify and verify customers, assess financial-crime risk, screen relevant parties, monitor activity and escalate exceptions with a clear audit trail.

1. What is KYC?

ANSWER

Know Your Customer is the process of identifying and verifying a customer and understanding the nature and purpose of the relationship so the institution can assess risk and meet legal/regulatory obligations.

EXAMPLE

Before onboarding a company, the bank verifies legal existence, ownership, authorized signatories and expected activity.

2. What is AML?

ANSWER

Anti-Money Laundering is the framework of laws, controls, monitoring and reporting designed to prevent criminals from disguising illicit funds as legitimate.

EXAMPLE

A bank screens customers, monitors transactions and escalates suspicious patterns.

3. What is the difference between KYC and AML?

ANSWER

KYC is one component of AML focused on customer identity, ownership, risk and ongoing profile. AML is broader and includes KYC, sanctions screening, transaction monitoring, investigations, reporting and governance.

EXAMPLE

Verifying a passport is KYC; reviewing unusual transfers and filing an internal escalation is part of AML.

4. Why is KYC required?

ANSWER

KYC helps prevent identity misuse, financial crime, sanctions breaches and fraud, and helps the institution understand whether customer activity is consistent with the expected profile.

EXAMPLE

A bank identifies a high-risk ownership structure before permitting transactions.

5. What is Customer Due Diligence?

ANSWER

CDD is the set of measures used to identify and verify the customer and beneficial owners, understand purpose/nature of relationship and assess risk, with ongoing monitoring.

EXAMPLE

For a corporate, CDD includes incorporation documents, ownership, business activity and expected transaction profile.

6. What is Enhanced Due Diligence?

ANSWER

EDD is deeper review applied to higher-risk relationships. It can include additional documents, senior approval, deeper ownership/source-of-wealth review and more frequent monitoring.

EXAMPLE

A high-risk PEP relationship may require enhanced source-of-wealth evidence and senior approval.

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

7. When is EDD normally required?

ANSWER

EDD may be required where risk is elevated due to customer type, geography, product, delivery channel, ownership complexity, PEP exposure, adverse information or unusual activity, based on law and policy.

EXAMPLE

A company with opaque cross-border ownership in a higher-risk jurisdiction may trigger EDD.

8. What is Simplified Due Diligence?

ANSWER

Where permitted by law and supported by lower risk, simplified measures may reduce the intensity of certain checks, but identity and core legal requirements still apply.

EXAMPLE

A regulated low-risk institution may receive a streamlined review under policy, subject to local rules.

9. What is beneficial ownership?

ANSWER

Beneficial ownership identifies the natural person who ultimately owns or controls a customer, directly or indirectly, or otherwise exercises ultimate effective control.

EXAMPLE

A company is owned by two holding companies, but the ultimate individual controlling them is the beneficial owner.

10. Why do we identify UBOs?

ANSWER

UBO identification prevents criminals from hiding behind legal entities and helps institutions assess ownership, sanctions, PEP and financial-crime risk.

EXAMPLE

A shell company may appear low risk until the actual controlling individual is identified.

11. What is a PEP?

ANSWER

A Politically Exposed Person is an individual entrusted with a prominent public function, with related categories defined by law or policy. PEP status increases corruption/bribery exposure and requires risk-based controls; it is not proof of wrongdoing.

EXAMPLE

A senior government official opening an account may trigger PEP-related EDD.

12. What is a close associate of a PEP?

ANSWER

Depending on regulation, it may include persons with close business or ownership relationships with a PEP or other defined connections.

EXAMPLE

A business partner who jointly owns a company with a PEP may be treated as a close associate.

13. What is a family member of a PEP?

ANSWER

Definitions vary, but regulations often include close relatives such as spouse/partner, children and their spouses/partners, and parents.

EXAMPLE

A bank may apply additional review to the spouse of a senior public official.

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

14. What is sanctions screening?

ANSWER

Sanctions screening compares customers, beneficial owners, counterparties and transactions against applicable sanctions lists and restrictions.

EXAMPLE

A beneficiary name matches a listed person and the transaction is stopped for investigation.

15. What is a sanctions false positive?

ANSWER

A false positive is a system alert where the screened party resembles a listed name but, after review, is determined not to be the sanctioned person/entity.

EXAMPLE

Two people share the same name, but date of birth and nationality differ.

16. What is a true sanctions match?

ANSWER

A true match is when available identifiers support that the screened party is the listed sanctioned person or entity, requiring action under applicable law/policy.

EXAMPLE

Name, DOB, nationality and identification details all align with the sanctions record.

17. What is adverse media screening?

ANSWER

Adverse media screening reviews credible public information for allegations or evidence of financial crime, corruption, fraud, terrorism, sanctions evasion or other relevant risk.

EXAMPLE

News reports link a company director to an ongoing corruption investigation.

18. How should adverse media be assessed?

ANSWER

Assess source credibility, recency, relevance, severity, identity match, legal status and connection to the customer. Avoid treating an allegation as a proven fact.

EXAMPLE

A low-quality anonymous blog should not be weighted the same as a court filing or reputable news investigation.

19. What is source of funds?

ANSWER

Source of Funds explains where the money used in a particular relationship or transaction comes from, such as salary, business revenue, sale proceeds or investment redemption.

EXAMPLE

A customer funds an investment account using proceeds from the sale of property, supported by sale documents and bank statements.

20. What is source of wealth?

ANSWER

Source of Wealth explains how the customer accumulated overall wealth over time, such as business ownership, employment, inheritance or investments.

EXAMPLE

A business owner demonstrates wealth accumulation through audited company profits over several years.

21. What is the difference between source of funds and source of wealth?

ANSWER

Source of funds is transaction/relationship-specific money origin; source of wealth is the broader origin of total wealth.

EXAMPLE

A wealthy customer may have wealth from a long-term business but fund one transaction using a property sale.

22. What is customer risk rating?

ANSWER

A customer risk rating is a structured assessment of financial-crime risk using factors such as geography, product, customer type, ownership, channel, PEP status and expected activity.

EXAMPLE

A domestic salaried customer may rate lower than a complex offshore entity with high-risk cross-border flows.

23. What factors can increase KYC risk?

ANSWER

Examples include opaque ownership, high-risk geographies, cash-intensive business, PEP exposure, sanctions proximity, high-risk products, unusual expected activity and negative information.

EXAMPLE

A newly formed trading company with multiple offshore owners and large international payments may receive a higher rating.

24. What is ongoing due diligence?

ANSWER

Ongoing due diligence keeps customer information and risk assessment current and checks that transactions remain consistent with known profile.

EXAMPLE

A sudden change from local payments to large cross-border transfers triggers profile review.

25. What is periodic KYC review?

ANSWER

A periodic review refreshes KYC information and risk at intervals determined by regulation/policy and customer risk level.

EXAMPLE

High-risk customers may be reviewed more frequently than low-risk customers.

26. What is event-driven KYC review?

ANSWER

An event-driven review is triggered by a material change such as ownership, address, business activity, PEP status, adverse media or unusual transactions.

EXAMPLE

A corporate customer changes its UBO, prompting immediate KYC refresh.

27. What is a KYC refresh?

ANSWER

A KYC refresh updates customer data, documents, ownership, risk rating and supporting evidence to maintain an accurate profile.

EXAMPLE

An expired ID is replaced and the customer's employment and address are reconfirmed.

28. What is identity verification?

ANSWER

Identity verification confirms that the customer is who they claim to be using reliable documents, databases or approved digital methods.

EXAMPLE

A passport is validated and the photo/details are matched to the applicant.

29. What is documentary verification?

ANSWER

Documentary verification relies on approved documents such as passports, licenses or incorporation certificates.

EXAMPLE

A company certificate of incorporation is checked for legal name and registration number.

30. What is non-documentary verification?

ANSWER

Non-documentary methods use reliable electronic data sources, database checks or other approved evidence rather than only physical documents.

EXAMPLE

A regulated eKYC service confirms identity against an authoritative database.

31. What is a shell company?

ANSWER

A shell company has little or no independent operating activity. Shells can be legitimate but may increase risk because they can obscure ownership or movement of funds.

EXAMPLE

A company with no employees, premises or clear business purpose routes large payments through multiple countries.

32. What is a front company?

ANSWER

A front company appears to conduct legitimate business but is used partly or primarily to hide criminal activity or illicit proceeds.

EXAMPLE

A cash business inflates sales to introduce criminal cash into the banking system.

33. What is money laundering?

ANSWER

Money laundering is the process of concealing the criminal origin, ownership or movement of illicit proceeds so they appear legitimate.

EXAMPLE

Drug proceeds are moved through layered transfers and later invested in property.

34. What are the classic stages of money laundering?

ANSWER

The traditional model is placement, layering and integration, although real cases may not follow these stages neatly.

EXAMPLE

Cash is deposited (placement), moved through multiple accounts (layering), then used to buy legitimate assets (integration).

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

35. What is placement?

ANSWER

Placement introduces illicit funds into the financial system or economy.

EXAMPLE

Large cash proceeds are broken into smaller deposits.

36. What is layering?

ANSWER

Layering uses multiple transactions, entities or jurisdictions to make the audit trail harder to follow.

EXAMPLE

Funds move through several companies and countries with no clear commercial purpose.

37. What is integration?

ANSWER

Integration reintroduces laundered funds into the legitimate economy as apparently lawful wealth.

EXAMPLE

Laundered money is used to purchase a legitimate business or real estate.

38. What is structuring or smurfing?

ANSWER

Structuring breaks transactions into smaller amounts to avoid reporting or monitoring thresholds.

EXAMPLE

Instead of one large cash deposit, multiple smaller deposits are made across branches.

39. What is a mule account?

ANSWER

A money-mule account is used to receive or transfer funds for criminals, sometimes knowingly and sometimes through deception.

EXAMPLE

A student is paid to receive funds and immediately transfer them abroad.

40. What is trade-based money laundering?

ANSWER

TBML uses trade transactions to disguise value transfer through techniques such as over/under-invoicing, phantom shipments or multiple invoicing.

EXAMPLE

Goods worth 100,000 are invoiced at 300,000 to move value across borders.

41. What is terrorist financing?

ANSWER

Terrorist financing involves raising, moving or using funds to support terrorist activity. Funds can come from legitimate or illicit sources.

EXAMPLE

A seemingly legitimate charity diverts part of donations to a terrorist organization.

● Identify / Verify



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42. How does terrorist financing differ from money laundering?

ANSWER

Money laundering focuses on disguising illicit origin; terrorist financing may involve legitimate or illicit funds and focuses on their prohibited destination/use.

EXAMPLE

Lawful salary funds can still become terrorist financing if knowingly directed to terrorism.

43. What is proliferation financing?

ANSWER

Proliferation financing involves providing funds or financial services connected to proliferation of weapons of mass destruction, subject to applicable laws and sanctions.

EXAMPLE

Payments involving a sanctioned entity linked to prohibited dual-use procurement may raise proliferation-financing concerns.

44. What is transaction monitoring?

ANSWER

Transaction monitoring uses rules, scenarios, analytics and review to identify activity inconsistent with expected behavior or known financial-crime typologies.

EXAMPLE

A dormant account suddenly receives multiple high-value international transfers.

45. What is a transaction-monitoring alert?

ANSWER

An alert is a system-generated or manually identified exception indicating activity that needs review; it is not itself proof of suspicious activity.

EXAMPLE

A rapid movement of funds through an account triggers a velocity rule.

46. What is a false positive in AML monitoring?

ANSWER

A false positive is an alert that appears unusual by rule but is explained by legitimate customer activity after investigation.

EXAMPLE

A customer receives a large annual bonus that matches employment and documents.

47. What is a true positive or true hit in AML review?

ANSWER

It is an alert where investigation confirms meaningful concern requiring escalation under policy; terminology varies by institution.

EXAMPLE

Transactions are inconsistent with profile and linked to adverse information, so the case is escalated.

48. How do you investigate an AML alert?

ANSWER

Review customer profile, KYC, counterparties, transaction history, amounts, timing, geography, purpose, supporting documents, linked accounts and relevant external information; compare against expected behavior and document conclusions.

EXAMPLE

For unusual transfers, compare them with stated business activity and invoices before deciding whether to close or escalate.

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

49. What is a red flag?

ANSWER

A red flag is an indicator of potential financial crime that warrants review in context. One red flag alone is not always sufficient to conclude suspicious activity.

EXAMPLE

Frequent transfers to unrelated third parties with no clear business purpose may be a red flag.

50. Give examples of AML red flags for individuals.

ANSWER

Examples include unexplained high-value activity, rapid in-and-out movement, structuring, multiple unrelated third-party transfers, inconsistent occupation/income and unexplained high-risk geography exposure.

EXAMPLE

A low-income profile receives repeated six-figure transfers from unrelated entities.

51. Give examples of AML red flags for companies.

ANSWER

Examples include opaque ownership, transactions inconsistent with business, round-dollar cross-border transfers, payments to unrelated sectors, rapid pass-through activity and unexplained high-risk jurisdictions.

EXAMPLE

A small local consultancy sends large payments to commodity traders in several countries.

52. What is rapid movement of funds?

ANSWER

It is money entering and leaving an account quickly with limited economic purpose or retained balance, which may indicate layering depending on context.

EXAMPLE

500,000 arrives and 495,000 is transferred to multiple overseas parties the same day.

53. What is round-dollar activity and why can it matter?

ANSWER

Repeated large round-number transfers can be a risk indicator because legitimate invoices often vary, though many legitimate transactions are also round numbers. Context matters.

EXAMPLE

A trading company repeatedly wires exactly 100,000 to unrelated beneficiaries without invoices.

54. What is dormant-account reactivation risk?

ANSWER

Sudden high-value activity after long inactivity can be unusual and may indicate account takeover, mule activity or a material customer-profile change.

EXAMPLE

An account unused for two years suddenly receives multiple international wires.

55. What is funnel-account behavior?

ANSWER

A funnel account receives deposits from geographically dispersed sources followed by withdrawals or transfers elsewhere, potentially indicating illicit fund aggregation.

EXAMPLE

Cash deposits occur in many cities, then funds are withdrawn near a border.

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

56. What is an AML case?

ANSWER

An AML case groups relevant alerts, customer information, transactions, research and investigation notes for a reasoned disposition or escalation.

EXAMPLE

Several related alerts for the same customer are consolidated into one investigation case.

57. What is alert disposition?

ANSWER

Alert disposition is the documented decision to close, continue monitoring, refer or escalate an alert based on evidence and policy.

EXAMPLE

The analyst closes an alert as expected activity after verifying a documented property sale.

58. What should good AML case notes contain?

ANSWER

They should explain the trigger, relevant facts, review performed, supporting evidence, risk factors, customer-profile comparison, rationale and final decision in clear reproducible language.

EXAMPLE

A reviewer should understand why a large transfer was considered reasonable without re-performing the full investigation.

59. What is escalation in AML?

ANSWER

Escalation is referral of a concern to a higher-level investigator, MLRO/compliance function or designated team under policy for further assessment and possible regulatory reporting.

EXAMPLE

An analyst identifies unexplained layering and escalates to the financial-crime investigations team.

60. What is an STR or SAR?

ANSWER

A Suspicious Transaction/Activity Report is a confidential report to the competent authority when legal thresholds for suspicion are met. Exact terminology and requirements vary by jurisdiction.

EXAMPLE

After internal investigation, the authorized compliance function files a report with the relevant FIU.

61. Can you tell a customer that an STR/SAR was filed?

ANSWER

Generally no. Many jurisdictions prohibit tipping off or unauthorized disclosure of suspicious-reporting activity. Follow local law and internal policy.

EXAMPLE

A customer asks why a transaction is delayed; staff should not reveal that a suspicious report was filed.

62. What is tipping off?

ANSWER

Tipping off is improperly informing a person that they are the subject of a suspicious-activity report or investigation in a way prohibited by law.

EXAMPLE

An employee tells a customer, "Compliance filed a SAR on you," which may violate law.

63. What is the FATF?

ANSWER

The Financial Action Task Force is an intergovernmental body that sets international standards for combating money laundering, terrorist financing and proliferation financing.

EXAMPLE

Countries are assessed against FATF Recommendations and effectiveness outcomes.

64. What is the FATF Grey List?

ANSWER

It refers to jurisdictions under increased monitoring that have committed to address strategic AML/CFT deficiencies. It does not automatically mean all transactions from those countries are prohibited.

EXAMPLE

A bank may apply enhanced risk assessment to customers with material exposure to a grey-listed jurisdiction.

65. What is the FATF Black List?

ANSWER

FATF calls this "High-Risk Jurisdictions subject to a Call for Action." Such jurisdictions have serious strategic deficiencies and may require enhanced measures or countermeasures, depending on current FATF statements and local rules.

EXAMPLE

A financial institution applies the regulator-required enhanced controls for exposure to a listed high-risk jurisdiction.

66. What is correspondent banking AML risk?

ANSWER

Correspondent banking can create indirect exposure to the respondent bank's customers and jurisdictions, requiring assessment of the respondent's ownership, regulation, AML controls and nested relationships.

EXAMPLE

A bank providing USD clearing reviews the respondent bank's AML program and geographic footprint.

67. What is nested correspondent banking?

ANSWER

It occurs when a respondent bank allows other financial institutions to access the correspondent relationship indirectly. This can reduce transparency and increase risk.

EXAMPLE

Bank A provides clearing to Bank B, which in turn provides access to several smaller banks.

68. What is a payable-through account risk?

ANSWER

A payable-through arrangement may allow the respondent bank's customers to transact directly through the correspondent account, requiring strong controls and due diligence.

EXAMPLE

Customers of a foreign bank can initiate payments directly through its correspondent account.

69. What is KYC for a corporate customer?

ANSWER

Corporate KYC typically verifies legal existence, registered address, business activity, directors/authorized signatories, ownership/control, UBOs, expected activity, source of funds/wealth where relevant and sanctions/PEP risk.

EXAMPLE

For a private company, the analyst reviews incorporation records and traces ownership to natural-person UBOs.

● Identify / Verify



● Risk / Screen



● Monitor Activity



● Investigate / Escal...

70. What is KYC for a merchant in payment operations?

ANSWER

Merchant KYC generally verifies the legal entity, business model, website/app, owners, bank account, licenses where applicable, products/services, expected transaction activity and risk/compliance information. Exact checks depend on PSP/acquirer policy.

EXAMPLE

A merchant selling electronics provides company documents, UBO data, bank proof and website details before activation.

71. What is merchant risk classification?

ANSWER

It assesses the merchant's industry, products, geography, sales model, chargeback/fraud exposure, transaction profile, ownership and regulatory factors to determine onboarding controls and monitoring.

EXAMPLE

A low-risk local retailer is treated differently from a high-risk cross-border digital-service merchant.

72. Why is website review important in merchant onboarding?

ANSWER

It helps confirm the business is genuine, products/services match the declared model, policies are visible and prohibited/restricted activity is not being hidden.

EXAMPLE

A merchant declares clothing sales, but the website actually sells restricted products, creating a serious onboarding issue.

73. What is bank-account verification in KYC?

ANSWER

It confirms that the settlement or operating bank account belongs to the expected customer/merchant and matches approved details.

EXAMPLE

A penny-drop or bank-letter check validates account name before payouts are enabled.

74. What is penny-drop verification?

ANSWER

Penny drop is a small-value bank-account validation method used in some markets to confirm account validity/name. It supports, but does not replace, broader KYC controls.

EXAMPLE

A nominal amount is sent to the merchant account and returned account-name data is checked.

75. What is maker-checker control in KYC?

ANSWER

One person prepares or reviews KYC data and a second authorized person independently checks and approves it, reducing error and fraud risk.

EXAMPLE

An analyst enters UBO details; a reviewer verifies documents before account activation.

76. Why is document expiry monitoring important?

ANSWER

Expired identity or licenses may make KYC information outdated or invalid, so systems should flag documents for refresh according to law/policy.

EXAMPLE

A trade license expiring next month triggers a renewal request before continued service.

77. What is data-quality risk in KYC?

ANSWER

Incorrect or incomplete data can cause missed sanctions matches, wrong risk ratings, failed reporting and poor transaction-monitoring outcomes.

EXAMPLE

A wrong date of birth may cause a sanctions-screening engine to incorrectly dismiss a potential match.

78. What is name-screening fuzzy matching?

ANSWER

Fuzzy matching compares names using similarity logic to account for spelling differences, transliteration and ordering. It increases detection but can also create false positives.

EXAMPLE

“Mohammed Al Hassan” may be compared with “Muhammad Al-Hassan.”

79. Why are aliases important in screening?

ANSWER

Sanctioned or high-risk parties may use alternate names, transliterations, former names or trade names, so screening should consider known aliases.

EXAMPLE

A listed entity operates under a commercial alias not identical to its legal name.

80. What is geographic risk?

ANSWER

Geographic risk assesses exposure to countries or regions associated with sanctions, corruption, weak AML controls, terrorism, secrecy or other elevated threats, based on authoritative sources and policy.

EXAMPLE

A customer with large flows to multiple high-risk jurisdictions may receive enhanced monitoring.

81. What is product risk in AML?

ANSWER

Some products provide greater anonymity, speed, cross-border reach or complexity and therefore may carry higher financial-crime risk.

EXAMPLE

A high-value international payment product can carry more AML exposure than a basic domestic savings account.

82. What is channel risk?

ANSWER

Channel risk relates to how customers access services, such as remote/non-face-to-face onboarding, agents or digital channels, which can affect impersonation and fraud risk.

EXAMPLE

Fully remote onboarding may require stronger digital identity verification.

83. What is expected activity in KYC?

ANSWER

Expected activity is the reasonable anticipated transaction behavior based on business, income, product use, geography, volume and value. It provides a baseline for monitoring.

EXAMPLE

A small local merchant expects 5,000 monthly domestic transactions, not occasional multimillion-dollar overseas wires.

● Identify / Verify



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● Investigate / Escal...

84. What should you do when actual activity is inconsistent with expected activity?

ANSWER

Review the customer profile, obtain a legitimate explanation/evidence where appropriate, assess whether KYC must be updated and escalate if concerns remain.

EXAMPLE

A merchant suddenly processing 20 times expected volume may require business-model validation and enhanced monitoring.

85. How do you prioritize AML alerts?

ANSWER

Use risk-based factors such as sanctions/PEP involvement, transaction value, typology severity, customer risk, geography, prior cases, vulnerability and regulatory deadlines.

EXAMPLE

A possible sanctions match is generally prioritized above a routine low-value velocity alert.

86. What is alert ageing?

ANSWER

Alert ageing tracks how long an alert remains unresolved. Ageing controls support timely investigation and escalation.

EXAMPLE

An alert pending beyond the internal SLA appears on an exception report for management review.

87. What is quality assurance in AML investigations?

ANSWER

QA independently checks whether investigations follow policy, evidence is sufficient, conclusions are logical and documentation meets standards.

EXAMPLE

A QA reviewer samples closed cases and identifies weak rationale or missing counterparty analysis.

88. What is model or scenario tuning in transaction monitoring?

ANSWER

It adjusts rules, thresholds or analytics to improve detection effectiveness and reduce unproductive false positives while preserving risk coverage.

EXAMPLE

A threshold is recalibrated after analysis shows thousands of low-risk alerts with no meaningful findings.

89. What is a typology?

ANSWER

A typology is a recognized pattern or method used in financial crime, based on cases, intelligence or regulatory guidance.

EXAMPLE

Rapid pass-through of funds across multiple jurisdictions is a common layering typology.

90. How would you handle an incomplete KYC file?

ANSWER

Identify missing mandatory items, place the relationship in the appropriate pending/restricted status, request evidence, document follow-up and do not bypass required controls for business urgency.

EXAMPLE

A merchant lacks verified UBO documentation, so activation remains pending.

● Identify / Verify



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91. What would you do if business pressures you to approve a high-risk customer quickly?

ANSWER

Follow policy and regulatory requirements, explain the missing controls, escalate through governance if necessary and do not override mandatory due diligence without authorized exception procedures.

EXAMPLE

Sales requests same-day activation, but sanctions and UBO checks are incomplete; onboarding remains blocked.

92. How do you balance customer experience with KYC controls?

ANSWER

Use clear requirements, risk-based workflows, digital verification, reusable verified data and timely communication while keeping mandatory controls intact.

EXAMPLE

A checklist sent at application stage reduces back-and-forth without weakening review standards.

93. What is confidentiality in KYC/AML work?

ANSWER

Customer data and investigation information must be handled on a need-to-know basis with secure systems, access controls and lawful disclosure.

EXAMPLE

Investigation notes are not shared with unrelated teams or external parties.

94. What is an audit trail in AML?

ANSWER

An audit trail records who performed actions, what evidence was reviewed, decisions made, timestamps and approvals so the process can be reconstructed.

EXAMPLE

The case system records the analyst, reviewer, documents and final disposition.

95. How would you explain a difficult AML alert in an interview?

ANSWER

Use a structured approach: trigger, customer profile, transaction facts, checks performed, evidence, red flags, mitigating factors, decision and escalation. Avoid claiming a regulatory filing unless you actually had authority/experience.

EXAMPLE

"The alert was caused by unusual volume; I compared it with expected merchant activity, reviewed supporting records and escalated unresolved inconsistencies."